

RATING RATIONALE

11Feb2025



Borana Weaves Ltd.(erstwhile Borana Weaves Pvt. Ltd.)

Brickwork Ratings has assigned the long-term ratings for the Bank Loan Facilities of Rs. 73.30 Crs. of Borana Weaves Ltd.(erstwhile Borana Weaves Pvt. Ltd.)

Particulars

Facilities**	Amount(Rs.Crs.)	Tenure	Rating#
Fund Based	73.30	Long Term	BWR BBB /Stable Assignment
Grand Total	73.30	(Rupees Seventy Three Crores and Thirty lakhs Only)	

#Please refer to BWR website www.brickworkratings.com for definition of the ratings

**Details of Bank Loan facilities,consolidation or instruments are provided in Annexure

RATING ACTION / OUTLOOK

Brickwork Rating has assigned the long-term ratings for bank loan facilities of 73.30 Crs of Borana Weaves Limited at BWR BBB/Stable.

Brickwork Ratings (BWR) has assigned the ratings of Borana Weaves Ltd. (the company) considering factors such as extensive experience of promoters in the textile industry, established track record, growing scale of operations with healthy profitability, location advantages, and long-standing track record of the Borana Group. However, the ratings are constrained by intense competition in the textile industry, project risk associated with planned capex and the company's revenue is largely dependent on grey fabric.

The outlook has been retained Stable as BWR believes that the business and financial risk profile of the company will be maintained over the medium term. The Stable outlook indicates a low likelihood of a rating change over the medium term.

For assigning the rating, BWR has relied upon the last 3 years of audited financials till FY24, projected financials for FY25 & FY26, and publicly available information and clarification provided by management.

KEY RATING DRIVERS

Credit Strengths:

- **Benefits Derived from the Company Being Part of the Borana Group with a Long-Standing Track Record :**

Borana Weaves Limited is a part of the Surat-based Borana Group, which has over three decades of experience in the textile industry through various group entities in the cotton, Grey yarn, and man-made fabric segments. BWL benefits from an established customer and supplier base. Over the years, the group has set up different units to avail of various tax benefits.

- **Location Advantage :**

The manufacturing facility of Borana Weaves Ltd. is located at Hojiwala Industrial Estate, Surat, which is known as the textile city of Gujarat and the Silk City of India. Surat is also the largest producer of man-made fibers and filament fabrics, accounting for around 40% of the country's production. Therefore, BWL's presence in this textile hub has provided significant benefits in terms of easy access to raw materials and labour.

- **Growing scale of operations with healthy profitability :**

The company has been showing a consistently improved scale of operations, as indicated by the total operating income, which increased by 47.02% to Rs 199.06 Crs in FY24 (Audited), compared to Rs 135.40 Crs in FY23 (Audited) on the back of commencement of production of its Unit 3 from in 2023 onwards. Additionally, the PAT increased to Rs 23.63 Crs in FY24, compared to Rs 16.40 Crs in FY23, due to an improvement in the total operating income. The company has achieved a revenue of Rs 240 Crs as of 31-01-2025. Furthermore, it is expected to achieve a total operating income of Rs 265.95 Crs in FY25(Projected), based on the average growth in operating income over the past three years.

- **Extensive experience of promoters in the textile industry :**

The promoters of the company have been involved in the textile business for over 20 years. The Chairman and Managing Director, Mangilal Ambalal Borana, has more than 24 years of experience in the textile industry. The Borana family has extensive experience in the textile sector. The company has strongly integrated operations across textile manufacturing, grey fabric, and yarn production, with an established and diversified customer base.

Credit Risks:

• Project Risk Associated with Planned Capex :

The company plans to undertake an expansion in FY25 by establishing another unit (Unit 4, Proposed) to enhance its production capabilities for grey fabric at Hojiwala Industrial Estate, SUSML, Sachin, Surat-394230. This new unit will include 348 water-jet machines, 5 texturizing machines, and 1 sizing machine, with a total investment of Rs. 71.34 Crores. The funding will be sourced from the upcoming IPO and the internal accruals of the company. The land for Unit 4 is leased from the promoters. Given the early stage of the project and the back-to-back capex, there are inherent project risks associated with the expansion.

• Intense competition in the textile and fragmented industry :

The Company operates in a highly competitive and fragmented textile industry. The company witnesses intense competition from both organized and unorganized players domestically. This fragmented and highly competitive industry results into price competition thereby posing a threat to the profit margins of the companies operating in the industry.

• The company's revenue is largely dependent on grey fabric :

The company is heavily reliant on the sale of grey fabric. Any reduction in the sale of grey fabric, or in the ability to produce and sell grey fabric, or a decline in the price at which it can be sold, may adversely affect the business, results of operations, cash flows, and financial condition.

ANALYTICAL APPROACH - Standalone

Standalone - For arriving at its ratings, BWR has considered the standalone performance of Borana Weaves Ltd. BWR has applied its rating methodology as detailed in the Rating Criteria (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

Going forward, the ability of the company to increase its scale of operations, improve profitability, efficiently manage its working capital, and strengthen its overall credit profile would be the key rating sensitivities.

Positive: The rating may be upgraded if the company records significantly better-than-expected growth in revenues by around 55% along with improvement in profitability levels and efficient working capital management, resulting in better debt coverage metrics and liquidity profile.

Negative: The rating may be to downgraded if the company reports significantly lower than expected performance, resulting in affecting the net profitability margins (9%), high gearing ratio, or deterioration in its financial risk profile from the current level and any delays in payment of its debt obligations.

LIQUIDITY INDICATORS - Adequate

The Company's liquidity position is adequate. The tangible net worth of the company stood at 47.87 Crores in FY24(Audited) as compared to Rs 24.24 Crores in FY23. Comfortable debt protection metrics with ISCR and DSCR at 10.05 times and 4.77 times in FY24. Net Cash Accruals of Rs 32.08 Crs as against the CPLTD 7.73 Crs in FY24(Audited). In FY25, the company is estimated to generate a net cash accrual of Rs 52.53 Crs with an annual repayment CPLTD of Rs 8.72 Crs. The current ratio of the company was adequate at 1.34 times in FY24(Audited). The company had a moderate conversion cycle of 41 days in FY24. the gearing ratio is moderate marked by 1.44 times in FY24. Cash and cash equivalents of the company stood at Rs. 0.01 Crores in FY24. Low utilization of working capital limits stands at 15% to 20% of HDFC Bank and Mehsana Urban Co. Operative Bank for the past 12 months.

ABOUT THE ENTITY

Macro Economic Indicator	Sector	Industry	Basic Industry
Consumer Discretionary	Textiles	Textiles & Apparels	Other Textile Products

Borana Weaves Private Limited was incorporated in October 2020 and converted to a public limited company on 10.09.2024. It is part of the Surat-based Borana Group. The company is promoted by Mr. Mangilal Ambalal Borana, Mr. Rajkumar Borana, and Mr. Ankur Borana, members of the Borana family. Borana Weaves Limited is engaged in the manufacturing of texturized yarn and polyester grey fabrics. The company’s first unit (Unit 1) began operations in 2021. As of now, Borana Weaves operates three manufacturing units in Surat, Gujarat, equipped with textile manufacturing technologies, including texturizing, warping, water jet looms, and textile folding.

Between 2021 and 2023, the company experienced significant expansion, incorporating 700 high-tech water jet looms across its units (Units 1, 2, and 3). During this period, Borana Weaves Limited also introduced advanced sizing, warping, and high-speed texturizing machines, leading to a fourfold increase in production capacity. The company has 700 water jet looms, 15 texturizing machines, 6 warping machines 10 folding machines as of September 30, 2024.

Looking ahead, the company plans another major expansion in 2025, with the launch of a new unit equipped with high-tech weaving looms designed for waterproof and technical textile fabrics. This new facility will further elevate the company’s production capabilities.

KEY FINANCIAL INDICATORS (Standalone)

Key Parameters	Units	FY 21 - 22 (Audited)	FY 22 - 23 (Audited)	FY 23 - 24 (Audited)
Operating Revenue	Rs.Crs.	42.33	135.40	199.06
EBITDA	Rs.Crs.	5.16	25.96	40.88
PAT	Rs.Crs.	1.84	16.40	23.63
Tangible Net Worth	Rs.Crs.	1.84	24.24	47.87
Total Debt / Tangible Net Worth	Times	14.84	1.60	1.44
Current Ratio	Times	1.27	1.22	1.34

KEY COVENANTS OF THE FACILITY RATED

The terms of sanction include standard covenants normally stipulated for such facilities.

STATUS OF NON-COOPERATION WITH PREVIOUS CRA

Credit Rating Agency	Status and Reason for Non-Cooperation	Date of Press Release
CARE	Due to non-submission of the relevant information.	08Oct2024

RATING HISTORY FOR LAST THREE YEARS (including withdrawal and suspended)

Facilities	Current RatingÂ (2025)			2024		2023		2022	
Type	Tenure	Amount (Rs.Crs.)	Rating	Date	Rating	Date	Rating	Date	Rating
Fund Based	LT	73.30	BWR BBB/Stable (Assignment)	NA	NA	NA	NA	NA	NA
Grand Total		73.30	(Rupees Seventy Three Crores and Thirty lakhs Only)						

Hyperlink/Reference to applicable Criteria

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Manufacturing Company](#)

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ANNEXURE-I

Details of Bank Facilities rated by BWR

SL.No.	Name of the Bank/Lender	Type Of Facilities	Long Term(Rs.Crs.)	Short Term(Rs.Crs.)	Total(Rs.Crs.)	Complexity of the Instrument
1	HDFC Bank	Term Loan-Out-standing	32.23	—	32.23	Simple##

SL.No.	Name of the Bank/Lender	Type Of Facilities	Long Term(Rs.Crs.)	Short Term(Rs.Crs.)	Total(Rs.Crs.)	Complexity of the Instrument
2	HDFC Bank	Cash Credit-Sanctioned	3.00	–	3.00	Simple##
3	The Mehsana Urban Co-operative Bank	Term Loan-Out-standing	8.35	–	8.35	Simple##
4	The Mehsana Urban Co-operative Bank	Cash Credit-Sanctioned	7.00	–	7.00	Simple##
5	The Sutex Co-operative Bank	Term Loan-Out-standing	7.22	–	7.22	Simple##
6	The Sutex Co-operative Bank	Cash Credit-Sanctioned	15.50	–	15.50	Simple##
Total			73.30	0.00	73.30	
TOTAL (Rupees Seventy Three Crores and Thirty lakhs Only)						

BWR complexity levels are meant for educating investors. The BWR complexity levels are available at [www.brickworkratings.com / download / ComplexityLevels.pdf](http://www.brickworkratings.com/download/ComplexityLevels.pdf). Investors queries can be sent to info@brickworkratings.com.

ANNEXURE-II

INSTRUMENT DETAILS

Instrument	Issue Date	Amount (Rs.Crs)	Coupon Rate (%)	Maturity Date	ISIN Particulars	Complexity of the Instrument
Nil	Nil	Nil	Nil	Nil	Nil	Nil

ANNEXURE-III

List of entities consolidated

Name of Entity	% Ownership	Extent of consolidation	Rationale for consolidation
Nil	Nil	Nil	Nil

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